

Image 3.7 – Balanced Open in Bank Nifty

The above image 3.7 shows a balanced open scenario in Banknifty. On the next trading day, the price opened exactly at the middle of the previous day's range (balanced open), indicating no fundamental changes overnight.

So, there is a high probability of PDH and PDL acting as resistance and support respectively on the next day as well. The price took support exactly at PDL and also took resistance at PDH.

Hence, intraday traders should never forget that previous day's high and low levels act as crucial support and resistance (based on balance or imbalanced open). This concept is significant trading wisdom for all the day traders!

How About Weekly's High & Weekly's Low?

Previous day high (PDH) and Previous day low (PDL) are crucial for day traders. Similarly, previous week's high and previous week's low are levels critical to swing traders, momentum traders, and investors. So, there is always a high probability of the entry of these positional traders or investors whenever the price reaches the previous week's high or low. Because of their entry (with big position size), it also plays a crucial role for intraday traders.